Higher National Diploma in Accountancy
Third Year, First Semester Examination - 2019
HNDA 3103 - Business Law

Instructions for Candidates:
Answer five (05) questions including Question No 1

No. of questions : 06
No. of pages : 03
Time: Three (03) hours

Question No 01

i. What is the common law in Sri Lanka?
ii. State two personal laws in Sri Lanka.
iii. State two powers available with the court of Appeal?
iv. List two types of an agents.
v. Name two non-negotiable instruments
vi. State two instances in which an employee is entitled to obtain Employee Provident Fund Contribution (EPF).
vii. List two types of authority which can be performed by an agent
viii. Give three instances which the offer could be terminated
ix. List two areas covered under the Establishment Code.
x. What do you mean by the term 'unpaid seller'.

(Total 10 x 2 = 20 Marks)

Question No 02

i) Differentiate the term counter offer and cross offer (06 Marks)

ii) Describe the ways in which a contract could be terminated. (06 Marks)

iii)

a). On 3rd May Neru made an offer to Meha for quantity of clothes on certain terms and requested to reply by post. But Neru misdirected his letter and that did not reach to Meha until the evening of 7th May. On the same day (7th May) Meha posted a letter of acceptance, Neru received that letter on 12" May. If the original offer had been expected by 9th May and mean while on 10th May not having received such a replay Meha sold the cloths to someone else. Advice to the parties with relevant case law.

b). On 7th May if Neru handed over this letter to Kelum who is a postman and by mistake if he kept the letter till 11th May and he posted the letter on the evening of 11th May. Would you change your advice? (4x2= 08Marks)

(Total 20 Marks)

Question No 03

i. Distinguish contract of sale and contract for an agreement to sell (05 Marks)

ii. Explain the rights of an unpaid seller (05 Marks)

iii. Briefly explain the remedies of the buyer, for breach of contract of sale of goods by the seller with reference to the sale of goods ordinance. (05 Marks)

iv. Amalan appointed Railway Company to transport tomatoes imported from the harbour to his business place. The ship with tomatoes came several days late and there was a further delay to transport them to Amalan because there was a strike which broke out at the railway. As a result of delay, the tomatoes were getting spoilt. The Railway Company sold them at the lowest price without getting the permission from Amalan even though Railway knows where Amalan lives. Amalan sued to recover the damages. Discuss with relevant case laws.

(05 Marks)

(Total 20 Marks)

Question No 04

i. Name two methods which introduced to settle the industrial disputes under the Industrial Disputes Act? (04 Marks)

ii. Chamind is working as an Accountant at JK Ltd. She expects to deliver her 2nd baby on November 2019 and seek your advice about the maternity leave which she can obtain.

(04 Marks)

iii. Jagath is employed for 12 years in Nestley Ltd. which has 25 employees from the beginning. His last drawn salary was 75,000.00. Calculate the amount of gratuity entitled by Jagath under the Payment of Gratuity Act. (04 Marks)

iv. Discuss two tests available to distinguish an employee from an Independent contractor.

(04 Marks)

v. Briefly explain about two types of employment contracts (04 Marks)

(Total 20 Marks)

Question No 05

i. Define the term insurable interest. (04 Marks)

ii. Explain the different types of endorsements and its legal consequences (04 Marks)

iii. Brief four requirements which must fulfilled to become a holder in due course.(04 Marks)

iv. What are the fundamental rights recognized under second republication constitution? (04 Marks)

v. Describe the main responsibilities of the Auditor General in Sri Lanka. (04 Marks)

(Total 20 Marks)

Question No 06

Write short notes on the followings:

i. Duties of an agent
ii. Insurance and assurance
iii. Workman and independent contractor
iv. Promissory note and Bill of Exchange
v. Personal law and Territorial law **(Total 04 x 05 = 20 Marks)**